

Assignment:

Explore Organization Characteristics

Duration: 60 Minutes

Learning Objectives

In this assignment you will explore the characteristics of the different organizational structures, stakeholders, and stakeholder concerns. By the end of this exercise you'll be able to

- ▶ Consider the project stakeholders
- ▶ Document stakeholder concerns regarding the project objectives
- ▶ Explore how the stakeholder positions affect their project concerns
- ▶ Begin to develop a project communication strategy based on stakeholder concerns

Assignment Material and Setup

All of the information you'll need to answer the questions about the project stakeholders and their concerns can be found in this section.

Identify Organizational Characteristics

You are the project manager of the NKK Project for your company. This project will replace the customer ordering software your company has used for the last twelve years with new software that is integrated with your web site and your e-mail server, and that has an order fulfillment portion for inventory and manufacturing. This software will affect all areas of your company, and you'll have to provide communications to many different stakeholders. Answer the following questions about this scenario:

1. What concerns do you think the executives in your company will have about the software solution?

2. What questions do you believe functional management will have about the project?

3. How will the project affect operations?

4. What approach would you take to communicate the project implementation to all of the key stakeholders?

Charting Organizational Power

In project management it's important to understand who has the power when it comes to project decisions. It's most often the structure of the organization that determines if it's the project manager with the project power or the functional management. There are ten different structures that describe the makeup of an organization. You should be familiar with these ten structures listed here:

- ▶ **Organic or simple** Employees groups are flexible, people work side by side on project work. The project manager has little to no authority and is like a part-time role. Project managers might be called a project coordinator. The project budget is managed by the organization's owner or operator.
- ▶ **Functional** A functional structure isolates every department and project by function, such as Sales, Marketing, Finance, IT, and Manufacturing. Every department sponsors its own projects, and departments may have to "buy" services from one another using internal dollars and cost centers. The functional managers have all of the project power, and project managers may actually be called project coordinators or expeditors. The project budget is managed by the functional manager
- ▶ **Multi-divisional** De-centralized structure, which means replication of functions within each division (such as each division would have its own IT department or IT group). The project manager likely has little to no authority and is a part-time role. The functional manager manages the project budget.
- ▶ **Weak matrix** In a weak matrix, the project manager has little authority or project power to make decisions. The functional managers have more authority than the project manager. The functional manager controls the project budget.
- ▶ **Balanced matrix** The project manager and the functional managers share project authority, though there's often a power struggle over project decisions. The functional manager and the project manager have shared ownership of the project budget.
- ▶ **Strong matrix** The project manager has more authority over project decisions than the functional managers. The project manager is a full-time role and the project manager manages the project budget.

- ▶ **Project-oriented** This structure assigns all of the authority to the project manager, and the project team is on the project full-time. The project team does not serve on other projects, as in a matrix, and they'll work on the project until the project is closed. The project manager manages the project budget.
- ▶ **Virtual** The organization is a network structure with points of contact for each group within the organization. The project manager can be full-time or part-time, and the project manager and the functional manager share management of the project budget.
- ▶ **Hybrid** This structure is a hybrid of different attributes of these defined organizational structures. An organization can design its own structure and power assignment based on its needs. A composite structure doesn't necessarily assign more power to the project manager, as it's created by the organization based on the needs within the organization.
- ▶ **PMO** PMO usually means project management office, but could mean portfolio or program management office. The project manager has high to total power over the project, is a full-time role, and manages the project budget.

Learning Objectives

In this assignment you identify the characteristics of the standard organizational structures. By the end of this exercise you'll be able to

- ▶ Identify the standard organizational structures
- ▶ Document the expected project management power in each structure
- ▶ Define the authority for the project manager and the functional manager in each structure

Charting Organizational Structures

Organizational Structure Type	Characteristic	Project Manager Authority	Project Manager Role	Manages Budget
Organic or simple				
Functional				
Multi-divisional				
Weak Matrix				
Balanced Matrix				
Strong Matrix				
Project-oriented				
Virtual				
Hybrid				
PMO				

Assignment Analysis Test

1. At what portion of a project does a stakeholder have the most influence on the project scope?

2. You are the project manager of the NHJ Project for your company. You have just completed a project phase. Before the project may move on to new phases, the stakeholders must review the project work to determine the validity of what the project has done so far. What term is assigned to the review of the project work before the project may move forward?

3. Stakeholders are the people and groups that have influence over your project. Consider an electrical inspector in a home construction project. What type of a stakeholder is this person?

4. An organization usually operates as a functional structure. For this current project, however, they've create a project manager and a project team that will serve only on this one project for the duration of the project. In addition, the project manager will have autonomy over project decisions and the project team. What type of structure is this organization using, and what are the benefits of this structure type?

5. What are characteristics of a project risk?

Assignment Solution: Identify Organizational Characteristics

In this exercise you are the project manager of the NKK Project for your company. The NKK Project will replace the customer ordering software your company has used for the last twelve years with new software that is integrated with your web site and your e-mail server, and that has an order fulfillment portion for inventory and manufacturing. You were to answer several questions about the solution and how stakeholders in your company may feel about the project. Your answers may be different than what is presented here, but these are the most viable answers for the solution:

1. What concerns do you think the executives in your company will have about the software solution?

The solution must support the mission and vision of the company, not detract from the company's ability to deliver, and support the company's customers. The NKK Project must be managed with care and diligence,

as this project may have huge ramifications on the reputation of the organization.

2. What questions do you believe functional management will have about the project?

Functional management will want to know what components in the organization will be affected by the change the project will create. They'll want to know what will be affected, the schedule for the change, the approach for the change, and how the transfer will affect the day-to-day core business. Functional management may want your project to succeed, but they'll need to manage the ongoing presence of the company while the conversion to the new solution is being implemented. They'll need plenty of communication and updates from you about the project.

3. How will the project affect operations?

Operations will be affected by the implementation of the new solution. They will need to be trained on the new solution, communicated to about when changes will be implemented, and they'll need to know the new processes, forms, software, and other deliverables the new solution will provide to them. There may be some negative stakeholders that are opposed to the change so these people will need their concerns and perceived threats addressed.

4. What approach would you take to communicate the project implementation to all of the key stakeholders?

First, the project manager should communicate with the stakeholders as early as possible in the project to explain what the solution will provide for the organization and then how the solution will affect each stakeholder. The project manager will need to communicate with the stakeholders and document their concerns, perceived threats, and communication requirements. As the project progresses the project manager needs to keep up the communication and alert appropriate stakeholders when areas of the project are about to affect their role in the organization.

A stakeholder management strategy should be developed by the project manager and team. This strategy defines positive, negative, and neutral stakeholders and the best approach to manage each of these parties. This is a sensitive document that should not be openly shared.

Assignment Solution: Charting Organizational Structures

This exercise asked you to complete a chart of the six most common organizational structures. Recall that composite is a blend of structures, such as strong matrix and projectized. The following illustration shows the five most common organizational structures that you should be aware of for your PMP examination. Starting at the bottom and working your way to the top, you should have identified the organizational structures based on power as in the following chart:

Organizational Structure Type	Characteristic	Project Manager Authority	Project Manager Role	Manages Budget
Organic or simple	People work side-by-side	Little to none	Part-time; coordinator	Owner or operator
Functional	Arranged by work being done (IT, Sales, Manufacturing)	Little to none	Part-time	Functional manager
Multi-divisional	Decentralized; replication of functions throughout organization	Little to none	Part-time	Functional manager
Weak Matrix	Project team members come from all over organization	Low	Part-time	Functional manager
Balanced Matrix	Project team members come from all over organization	Low to moderate	Part-time	Functional manager and project manager
Strong Matrix	Project team members come from all over organization	Moderate to high	Full-time	Project manager

Organizational Structure Type	Characteristic	Project Manager Authority	Project Manager Role	Manages Budget
Project-oriented	The project team works only on this one project for the duration of the project.	High to almost total	Full-time	Project manager
Virtual	Network structure with points of contact for each group involved in the project.	Low to moderate	Full-time or Part-time	Functional manager and project manager
Hybrid	Mix of other organization structures	Mixed	Mixed	Functional manager and/or project manager
PMO	Mix of other organization structures; usually means Project Management Office.	High to almost total	Full-time	Project manager

Answers to Assignment Analysis Test

1. At what portion of a project does a stakeholder have the most influence on the project scope?

Project stakeholders have the most influence on the project during the early stages of the project. It is in the early stages, especially of project planning, that the stakeholders can define what features, functions, and requirements they'll expect from the project. If the stakeholders make changes later in the project, the project team may have to undo work to incorporate these changes, and that can introduce costs, risks, and other issues.

2. You are the project manager of the NHJ Project for your company. You have just completed a project phase. Before the project may move on to new phases, the stakeholders must review the project work to determine the validity of what the project has done so far. What term is assigned to the review of the project work before the project may move forward?

Scope validation is the formal process of the stakeholders reviewing the project work to confirm that the project work is acceptable. This activity might also be called stage gate or phase gate reviews in some organizations. Basically, the project manager and the organization must be in agreement that the work completed in the project is in alignment in the project scope before the project should move on to new project phases.

3. Stakeholders are the people and groups that have influence over your project. Consider an electrical inspector in a home construction project. What type of a stakeholder is this person?

An electrical inspector is likely a neutral stakeholder. Consider that positive stakeholders want your project to succeed, while negative stakeholders want your project to fail. Neutral stakeholders, such as the electrical inspector, are considered neutral, as they are involved in your project but generally don't have an opinion regarding your project success.

4. An organization usually operates as a functional structure. For this current project, however, they've create a project manager and a project team that will serve only on this one project for the duration of the project. In addition, the project manager will have autonomy over project decisions and the project team. What type of structure is this organization using, and what are the benefits of this structure type?

This is an example of a project-oriented, composite structure. Composite structures are a type of project oriented structure and they allow an organization to adapt to current needs, opportunities, and projects within the organization. In this example, a project-oriented structure gives the project manager complete authority over the project, keeps the project team focused on just one project, and establishes a clear line of authority, communications, and decision-making over the project.

5. What are characteristics of a project risk?

Project risks are uncertain future events that can have either a positive affect or a negative effect on the project's outcomes. Risks are often seen as negative, but it's the impact of the risks that hurt the project's ability to reach its objectives.